

Lesson 19: Ordinary Annuities and Future Value

Criteria	Exceptional (4)	Proficient (3)	Basic (2)	Below Basic (1)
Identification & Setup	Correctly identifies all variables (PMT, r, n, PV, FV) and correctly determines payment interval matches compounding period.	Identifies most variables correctly, but may mix up PV and FV or misidentify the payment frequency.	Misidentifies the type of annuity (e.g., uses Annuity Due instead of Ordinary).	Unable to identify variables or the type of annuity.
Formula Selection & Application	Selects the precise formula (PV or FV) and rearranges it correctly to solve for the unknown.	Selects the correct formula but makes a minor error in rearrangement or substitution.	Uses the incorrect formula for the given problem.	Incorrect formula and improper substitution.

Interest Rate & Period Adjustment	Accurately converts annual rate to periodic rate ($i = r/m$) and total periods ($n = t \times m$).	Converts interest rates or periods with minor errors.	Fails to match the payment frequency with the compounding frequency (e.g., treats general as simple).	No conversion of rates or periods.
Calculation Accuracy	Computes the final answer accurately using a financial calculator or software with correct rounding.	Calculates accurately but makes a rounding error or minor calculator input error.	Significant calculation error resulting in an incorrect answer.	Answer is completely inaccurate.
Interpretation & Conclusion	Clearly interprets the result, explaining its significance in context (e.g., total interest paid).	Explains the result correctly, but with limited context.	Provides only the number without identifying it (e.g., calls PV a FV).	No interpretation provided.